Exit Policy – FD Business Service Private Limited

Effective Date: 1st April'2026
Approved By: Top Management
Applies To: All employees of FD Business Service Pvt. Ltd.

1. Purpose

This policy outlines the procedures for voluntary and involuntary separation of employees from FD Business Service Pvt. Ltd. The objective is to ensure a fair, transparent, and legally compliant process that safeguards both the company and the employee, while maintaining business continuity.

The objectives are to:

- Ensure fair, transparent, and legally compliant exits.
- Safeguard sensitive customer and company data.
- Maintain business continuity and service levels during transitions.

---

2. Types of Separation

A. Voluntary Separation (Resignation)

Definition: When an employee chooses to end their employment of their own accord by submitting a formal resignation.

Applicable Scenarios:

- Career change
- Relocation
- Higher studies
- Personal/family reasons
- Better opportunity elsewhere

Procedure:

1. **Submission of Resignation**

    - Must be submitted in writing (email or signed letter) to the Reporting Manager, with a copy to HR.
    - Must include last working day (LWD) proposal, reason for resignation, and signature/date (if letter).

2. **Approval Process**

    - Level 1: Process Head reviews and approves.
    - Level 2: HR verifies compliance with notice period, checks for pending obligations, and approves.

3. **Notice Period**

    - **≥3 months service**: 30 calendar days
    - **<3 months service**: 14 calendar days
    - Early release only with mutual agreement; salary recovery for shortfall unless waived.

4. **Handover & Clearance**

    - Completion of Exit Clearance Form (Process Head).
    - Handover of projects, passwords, physical files, and any customer/vendor communication.

5. **Asset & Access Return:**

    Mandatory return of:

        - ID card
        - Company-issued devices (laptops, mobiles)
        - Access cards

    IT to deactivate access to:

        - Dialers
        - CRM
        - Internal communication tools
        - Email and cloud accounts

6. **Exit Interview**

    - Conducted by HR to capture reasons for leaving, suggestions for improvement, and willingness for future rehire.

7. **Impact on Benefits**

- Eligible for FNF settlement (salary dues, incentives, leave encashment, PF, gratuity if applicable) – Within 45 Working Days post LWD
- Eligible for Relieving and Experience Letters upon full clearance – Within 15 Working Days of FNF Settlement

---

B. Involuntary Separation

Definition: When the company initiates the end of employment due to performance, behavior, misconduct, or other organizational needs.

---

1. Absconding

Definition: Unauthorized absence (NCNS) from work for more than 3 consecutive working days without approval or communication.

Procedure:

1. HR to send two reminder notices (Day 3 & Day 7 of absence).
2. If no response, issue a Final Abandonment Notice via email.
3. Mark separation date as the last day attended.
4. FNF processed for days worked; benefits forfeited as per policy (except statutory dues).

Impact on Benefits:

- No Relieving or Experience Letter issued.
- Statutory dues (PF, gratuity if applicable) must still be settled as per law.

---

2. Performance-Based Termination

Definition: Separation due to inability to meet agreed performance standards despite coaching and support.

Procedure:

1. Place employee on a Performance Improvement Plan (PIP):

- Duration: PIP 1 (5 Days), PIP 2 (3 Days), Final PIP (3 Days)
- Written goals, timelines, and expected improvement levels
- Weekly progress reviews
- Written acknowledgment from employee

2. At the end of PIP:

    1. If goals met → continue employment.
    2. If goals not met → HR initiates termination process.

Impact on Benefits:

- FNF processed as per normal timelines - Within 45 Working Days post LWD
- Eligible for Relieving and Experience Letters with performance mention kept neutral.

---

3. Disciplinary Termination

Definition: Separation due to misconduct, policy violation, or actions harmful to the organization.

Examples of Gross Misconduct:

- Fraud, theft, or financial irregularity
- Harassment (sexual, verbal, or physical)
- Data theft or breach of confidentiality
- Substance abuse at workplace
- Violent or threatening behavior

Procedure:

1. Conduct a Preliminary Investigation within 48 hours of incident report.
2. Issue a Show-Cause Notice with details of allegations and request for written response within 48 hours.
3. Form a Disciplinary Committee (HR, Process Head, Management representative).
4. Hold a hearing, record proceedings, and decide action.
5. Issue a Termination Letter if allegations are proven.

Impact on Benefits:

- FNF processed for dues as per law; certain benefits forfeited if allowed by contract.

- Relieving Letter may not be issued in cases of gross misconduct.

---

4. Training Failure (During or After Training Period)

Definition: Separation due to failure in meeting mandatory training assessments or role-readiness criteria during probation or post-training evaluation.

Procedure:

1. Communicate training evaluation results to the employee.
2. If re-training possible, provide opportunity (max 1 re-attempt).
3. If failed again, HR to initiate separation procedure

Impact on Benefits:

- FNF processed as per normal timelines - Within 45 Working Days post LWD
- Relieving Letter issued without negative remarks.

---

3. Exit Process Flow

1. **Initiation** – Employee submits resignation in writing OR Manager/HR initiates termination documentation.
2. **Approval** – Process Head & HR review and approve.
3. **Notice Period / PIP / Investigation** – As applicable.
4. **Handover & Asset Return** – Completion of exit clearance form, return of company property, transfer of work.
5. **Exit Interview** – HR conducts an exit discussion.
6. **System Access Closure** – IT disables all access post-LWD.
7. **FNF Settlement** – Accounts team processes dues within stipulated timelines.
8. **Issuance of Letters** – Relieving and experience certificates provided to eligible employees.

---

4. Timelines

- **Voluntary Exit** – FNF within 45 Working Days of LWD.
- **Involuntary Exit** – FNF within 45 Working Days of separation date (depending on the scenario)
- **Relieving Letter** – Within 15 Working Days after clearance.

---

5. Compliance

All separation procedures will be in accordance with applicable labor laws, including the Payment of Wages Act, Shops & Establishments Act, and other relevant statutes.

---

6. Acknowledgement Form

FD Business Service Pvt. Ltd. – Exit Policy

I, **[Employee Name]**, Employee ID **[ID Number]**, have read and understood the Code of Conduct of FD Business Service Pvt. Ltd. I agree to: the Company's Exit Policy

Signature: _____
Name: _____
Date: _____
HR Witness: _____